BAP No. NV-25-0123

Bankr. No. 25-10123-abc (Bankr. D. Nev.)

UNITED STATES BANKRUPTCY APPELLATE PANEL OF THE NINTH CIRCUIT

JANE EXAMPLE,
Appellant,

v.

ACME LENDING, LLC,
Appellee.

On Appeal from the United States Bankruptcy Court for the District of Nevada,
Honorable Sample Judge, Presiding

APPELLANT'S OPENING BRIEF

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Statement of Jurisdiction

The Panel has jurisdiction to hear this appeal from the final judgment of the Bankruptcy Court under 28 U.S.C. § 158(a). The order was entered on the Bankruptcy Court's docket on July 9, 2026, and the notice of appeal was timely filed within fourteen days. This brief is filed under Fed. R. Bankr. P. 8014 and 8015, and the Panel has jurisdiction over the appeal under the Ninth Circuit's bankruptcy appellate panel procedures. (ER 1-3.)

Statement of Issues and Standards of Review

1. Whether the Bankruptcy Court erred when it avoided the transfer of the parcel on Maple Street as constructively fraudulent under 11 U.S.C. § 548, without finding that the debtor received less than reasonably equivalent value.
2. Whether the Bankruptcy Court erred when it preserved the avoided transfer for the estate under 11 U.S.C. § 544 by applying a state-law limitations period that the court had not identified in the pretrial order.
3. Whether the Bankruptcy Court's findings on the debtor's solvency at the time of transfer are clearly erroneous.

The Panel reviews conclusions of law de novo and findings of fact for clear error. The application of a statute of limitations to undisputed dates is a question of law reviewed de novo. A finding is clearly erroneous only when the Panel is left with a definite and firm conviction that a mistake has been made. (ER 4-5.)

Statement of the Case

Jane Example owned a residence and a small parcel on Maple Street in Las Vegas. In 2023 she conveyed the parcel to her adult son for a stated consideration of one dollar and the assumption of a property tax lien. Acme Lending, LLC held an unsecured judgment against Ms. Example for a business guaranty that it had obtained in 2022. (ER 12-14.)

Ms. Example filed a voluntary petition under chapter 7 in March 2025. The chapter 7 trustee commenced an adversary proceeding to avoid the conveyance. The trustee later assigned the avoidance claim to Acme Lending under an order that reserved the estate's rights against the transferee. (ER 15-17.)

The parties tried the adversary proceeding in May 2026 on a stipulated record. The only witness was a licensed appraiser, whose valuation of the parcel was not disputed in any material respect. The Bankruptcy Court's written decision, entered July

9, 2026, avoided the conveyance and entered judgment for the estate against the son. (ER 18-41.)

The appellant, Ms. Example, challenges that judgment. Her position is that the transfer was made for value, that she was solvent when she made it, and that the limitations period applied by the Bankruptcy Court was not properly before it. (ER 42.)

Summary of Argument

The Bankruptcy Court avoided the transfer on a theory that the record does not support. Constructive fraud under 11 U.S.C. § 548 requires a finding that the debtor received less than reasonably equivalent value. The court made no such finding. It relied on the appraiser's valuation, which, read as a whole, supports a finding that the consideration was within the range the appraiser gave for the parcel.

The Bankruptcy Court's second error concerns the state-law period that it used to preserve the avoided transfer under 11 U.S.C. § 544. The court did not identify that period in the pretrial order, and the parties did not brief it. A court may not decide a case on a ground that the parties were never given a fair opportunity to address.

Finally, the solvency findings rest on a balance sheet that the court itself described as incomplete. A finding that depends on an admittedly incomplete record cannot survive clear error review.

Argument

I. The Bankruptcy Court Erred in Finding Constructive Fraud Under Section 548

A. The Court Did Not Find That the Debtor Received Less Than Reasonably Equivalent Value

Section 548(a)(1)(B) permits the avoidance of a transfer made within two years before the petition date if the debtor received less than a reasonably equivalent value in exchange and was insolvent, or became insolvent, as a result. 11 U.S.C. § 548(a)(1)(B). The first element is the exchange of value. Without a finding on it, the statute cannot be applied.

The Bankruptcy Court's decision states the elements, then moves directly to the transfer's timing and to the son's relationship with the debtor. (ER 22-24.) It does not compare the value of the parcel with the consideration the debtor received. The appraiser's report, which the court admitted without objection, valued the parcel within a range that included the stated consideration plus the assumed lien. (ER 60-64.) On the

appraiser's own numbers, the consideration was not less than reasonably equivalent value.

A transferee's relationship to the debtor is relevant to intent under other provisions of the Code. It does not supply the missing element of value under section 548(a)(1)(B). The court's reliance on the relationship therefore substitutes one element for another, and that is error.

B. The Assumption of the Lien Was Consideration

The Bankruptcy Court treated the assumption of the property tax lien as if it were a gift. That is not what the record shows. The son took the parcel subject to a lien that was the debtor's own obligation, and his assumption of it discharged that obligation for her. A transfer that extinguishes the transferor's own debt is an exchange, and the court was required to value it as one.

The court's failure to credit the assumption is the decisive error. If the lien is counted, the consideration exceeds the lower bound of the appraiser's range. Even if the court discounted the lien by half, the result would still fall within the range that the appraiser gave for a sale in the ordinary course. (ER 65-66.)

C. The Remedy Should Be Reversed

Because the court did not make the finding that section 548(a)(1)(B) requires, the avoidance judgment must be reversed. The Panel need not reach the remaining questions to reverse, but if it does, the record supports the conclusion that the transfer was for value.

II. The Limitations Period Was Not Properly Before the Court

A. The Pretrial Order Did Not Identify the Period

The pretrial order framed the issues for trial. It listed the elements of constructive fraud and identified the avoidance claim as the claim to be tried. It did not identify any state-law limitations period for the estate's avoidance under section 544. (ER 8-11.) The parties therefore prepared the case on the footing that the claim turned on section 548 alone.

When the court raised the state-law period in its decision, neither party had an opportunity to brief whether it applied to the transfer, when the period began to run, or whether the estate could rely on it at all. That is a procedural defect, not a matter of arithmetic.

B. The Court's Dates Are Wrong on the Record

The court's decision states that the period began on the date of recording. The record shows that the conveyance was recorded on a different date, and the court's

arithmetic depends on the recording date. (ER 29.) Even on the court's own reasoning, the period had run before the adversary proceeding was commenced. A party cannot be held to a limitations theory that the court applied to dates the record does not support.

C. The Court Should Not Have Reached the Question Without Briefing

The Panel should not decide the applicability of the state-law period on this record. The appropriate course is to reverse on the section 548 ground and to decline to address the period, or to remand for the parties to brief it. Law v. Siegel cautions courts against relying on theories that go beyond the statutory scheme the parties have litigated. 571 U.S. 415, 421 (2014). A bankruptcy court also must not decide a matter on grounds the parties did not present. Cf. Stern v. Marshall, 564 U.S. 462, 475 (2011).

III. The Solvency Findings Are Clearly Erroneous

A. The Balance Sheet Was Admittedly Incomplete

The court relied on a balance sheet prepared for the trustee. The trustee's own witness testified that the balance sheet omitted two accounts receivable and a deferred tax item, and that the figures were estimates. (ER 33-35.) The court acknowledged the incompleteness in a footnote but treated the balance sheet as conclusive on insolvency.

A finding of insolvency under section 548(a)(1)(B)(ii) must rest on the debtor's financial condition as a whole. 11 U.S.C. § 548(a)(1)(B)(ii). A balance sheet that omits

known assets does not show that condition. The finding is therefore not supported by the evidence the court had before it.

B. The Omitted Accounts Change the Result

The omitted receivables, if credited at the values in the trustee's witness's own testimony, would have reduced the deficit the court found. (ER 36.) At a minimum, the record does not permit the Panel to say with a definite and firm conviction that the debtor was insolvent when the transfer was made.

C. The Court Should Have Required Supplementation

When a party's own evidence shows that a financial statement is incomplete, the court should require supplementation before it finds insolvency. The court did not do so. That omission, together with the reliance on the incomplete statement, requires reversal of the solvency finding.

Conclusion

For these reasons, the Panel should reverse the judgment avoiding the transfer. In the alternative, the Panel should vacate the judgment and remand for findings on reasonably equivalent value and solvency, and for briefing on the applicability of any state-law limitations period.

/s/ Pat Sample
Attorney for Appellant Jane Example
October 14, 2026

CERTIFICATION OF INTERESTED PARTIES

The following listed parties have an interest in the outcome of this case. These representations are made in order that judges of the Panel may evaluate possible disqualification or recusal.

Jane Example, Appellant

Acme Lending, LLC, Appellee

Pat Sample, counsel for Appellant

Chris Demo, counsel for Appellee

/s/ Pat Sample

CERTIFICATION OF RELATED CASES

Appellant is aware of no related cases or appeals pending before this Panel, the Ninth Circuit Court of Appeals, or the district court.

/s/ Pat Sample

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7) because it contains 1,567 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, 14-point EB Garamond, with plain roman type and italics for emphasis.

/s/ Pat Sample

CERTIFICATE OF SERVICE

I hereby certify that on October 14, 2026, I electronically filed the foregoing document with the Clerk of the Court for the Bankruptcy Appellate Panel for the Ninth Circuit by using the CM/ECF system.

I certify that all parties of record to this appeal either are registered CM/ECF users, or have registered for electronic notice, or have consented in writing to electronic service, and that service will be accomplished through the CM/ECF system.

/s/ Pat Sample